Daily Payments & Fintech Intelligence Brief

April 24, 2026

1. TOP PAYMENTS HEADLINES

1. Federal Reserve Proposes Cross-Border Expansion for FedNow

What happened:

On April 8, 2026, the Federal Reserve issued a formal proposal to amend Regulation J Subpart C, which governs FedNow®. The amendment would allow U.S. member banks to designate non-Federal Reserve intermediaries to handle the international leg of cross-border transfers — effectively making FedNow capable of settling the domestic USD leg of international payments instantly. The public comment window closes June 7, 2026.

Why it matters:

- FedNow has been domestic-only since launch; this is the first structural step toward making it a cross-border-capable settlement rail.
- Correspondent banks and specialist PSPs can become designated intermediaries — reshaping competitive positioning for USD cross-border corridors.
- Persistent challenges include FX processing complexity, multi-jurisdiction compliance, and still-low FedNow adoption among smaller U.S. institutions.
- Creates competitive pressure on SWIFT, card rails, and fintech cross-border players for domestic USD settlement legs.

Cross-Border / RTP | **New today**

Region: United States

Players: Federal Reserve, U.S. banks, correspondent banks, cross-border PSPs

2. Project Nexus Enters Live Implementation — Philippines Confirms Connectivity

What happened:

Nexus Global Payments (NGP), incorporated in Singapore by BIS and five central bank partners (MAS, RBI, Bank Negara Malaysia, BSP Philippines, Bank of Thailand), is progressing toward live implementation of the world's first multilateral instant cross-border payment scheme. The Philippines' BSP confirmed integration alignment in March 2026, with full onboarding targeted by mid-2027. The scheme targets sub-60-second settlement across five national IPS networks, serving 1.7 billion people.

Why it matters:

- Unlike bilateral instant payment linkages, Nexus creates a hub-and-spoke scheme layer enabling any-to-any corridor connectivity via a single connection.
- PSPs in connected markets must rethink corridor pricing, FX liquidity management, and compliance architecture against a 2027 live horizon.
- Singapore's role as NGP's incorporation jurisdiction reinforces its position as Asia-Pacific's payments infrastructure anchor.
- Central bank-backed multilateral infrastructure reduces fragmentation risk inherent in bilateral linkage proliferation.

RTP / Cross-Border / Infrastructure | **Follow-up with material update**

Region: Singapore / Asia-Pacific

Players: MAS, BIS, RBI, Bank Negara Malaysia, BSP Philippines, Bank of Thailand, NGP

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3. SWIFT ISO 20022: Pricing Penalties Active, Structured Address Deadline Approaching

What happened:

Following the end of the MT/MX coexistence period in November 2025, SWIFT activated automatic surcharges from January 1, 2026 for institutions still relying on in-flow translation services or contingency MT processing. SEPA version 3.7 is now mandatory, introducing updated pain.001.001.09 credit transfer and pain.008.001.08 direct debit formats. A hard deadline for fully structured postal address fields (structured country code and town name minimum) applies from November 2026.

Why it matters:

- SWIFT's pricing lever is the most direct mechanism to accelerate compliance — institutions now face real and escalating cost consequences for inaction.
- Unstructured legacy address data is a systemic AML/sanctions weakness; structured ISO 20022 data directly enhances screening precision and reduces false positives.
- Banks with large corporate client bases face active data remediation programs to meet November 2026 structured address requirements.
- SEPA 3.7 changes cascade into ERP/TMS configurations — payment factories and corporate treasury integrations require format-level updates now.

Infrastructure / Regulation | **Escalation — cost penalties now active**

Region: Global / Europe

Players: SWIFT, eurozone payment operators, corporate treasuries, TMS/ERP vendors

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4. CBUAE Tightens AML/CFT Expectations; Open Finance Now a Licensed Activity

What happened:

The Central Bank of the UAE published revised AML/CFT/CPF guidance on April 16, 2026, signaling a structural shift from procedural compliance toward continuous, technology-enabled risk management. This follows the landmark CBUAE Law (Federal Decree-Law No. 6 of 2025), effective September 2025, which brought open finance service providers and virtual asset payment services explicitly within CBUAE licensing scope for the first time. Newly in-scope entities have until September 16, 2026 to regularise.

Why it matters:

- Open finance providers and VA payment services are now explicitly licensed activities — a major regulatory perimeter expansion with real licensing and capital implications.
- The shift to continuous, technology-enabled risk monitoring raises the bar for RegTech adoption across UAE-regulated payment firms.
- Combined with the Consumer Protection Regulation (issued April 15, 2026), CBUAE is executing a synchronized multi-dimensional regulatory modernization.
- September 2026 creates a compressed compliance runway for embedded finance and crypto-payment operators in the UAE.

Regulation / Fraud-Risk | **New today**

Region: UAE / GCC

Players: CBUAE, payment service providers, open finance platforms, VA payment services, RegTech firms

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5. MAS Calls for PFMI-Standard Oversight of Systemic Stablecoins at IMF Meetings

What happened:

At the IMF Spring Meetings on April 13, 2026, a senior MAS official called for stablecoins with systemic payment relevance to be assessed under the Principles for Financial Market Infrastructures (PFMI) — the same standards applied to systemically important payment systems, CCPs, and CSDs. This positions MAS as a global leader in applying robust FMI regulation to large-scale stablecoin networks rather than treating them as a distinct asset class.

Why it matters:

- PFMI application to stablecoins would impose settlement finality, liquidity risk management, operational resilience, and governance standards currently required of central infrastructure.
- This significantly raises the compliance bar for large stablecoin issuers seeking payment-system scale, narrowing regulatory arbitrage.
- MAS is positioning Singapore as the intellectual framework-setter for stablecoin payment governance — differentiating from U.S. and EU approaches.
- PSPs and banks building stablecoin payment overlays must monitor whether PFMI criteria become a licensing or interoperability prerequisite.

Stablecoins / Regulation / Market Structure | **New today**

Region: Singapore / Global

Players: MAS, IMF, global stablecoin issuers, BIS, central banks

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2. MAJOR FINTECH HEADLINES

1. Embedded Finance Passes $197bn in 2026 — Infrastructure Layer Captures Outsized Value

What happened:

The embedded finance market has grown from $148bn in 2025 to a projected $197bn in 2026, maintaining a ~31% CAGR through 2034. Growth is concentrated in B2B infrastructure — payments APIs, compliance-as-a-service, embedded lending tooling — rather than consumer-facing neobank distribution. 2025 recorded the highest-ever fintech M&A; transaction count, and 2026 is expected to be an execution and consolidation year for infrastructure players.

Why it matters to fintech / payments:

The shift from consumer fintech to infrastructure fintech redefines where margin pools accrue. Platform-layer players — BaaS, orchestration, compliance APIs — are capturing value previously held in distribution. For payments product leaders, orchestration and API-led connectivity are becoming durable structural moats, not just operational necessities.

Strategic relevance:

Infrastructure-first embedded finance is outpacing consumer neobanks as the primary value-capture layer in 2026.

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2. Ripple Secures Expanded MAS MPI License — Institutional Digital Payments Widen

What happened:

Ripple obtained an expanded Major Payment Institution (MPI) license from MAS, allowing broader institutional digital payment services in Singapore. This positions Ripple to serve regulated institutional cross-border payment flows in the Singapore market, complementing existing corridor operations in the Middle East and Asia-Pacific.

Why it matters to fintech / payments:

In the context of Project Nexus and Singapore's role as a regional cross-border payments hub, a regulated institutional digital asset payment player with MAS approval adds a new competitive vector against traditional correspondent banking and remittance corridors. The MPI license signals MAS's continued openness to regulated digital payment rails alongside traditional infrastructure.

Strategic relevance:

MAS-licensed digital asset payment infrastructure is becoming a credible institutional option in Singapore cross-border corridors.

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3. WHAT MATTERS MOST

■ Domestic instant rails are going cross-border — and competing for the same flows.

FedNow's cross-border proposal and Project Nexus's live-implementation phase signal that the RTP infrastructure layer is extending internationally. This is not marginal: it redraws the competitive boundary between domestic settlement, correspondent banking, and specialist cross-border rails. The 2027 horizon is structurally significant for USD and ASEAN corridor strategies.

■ Regulatory perimeter expansion is accelerating across key payments hubs.

UAE's CBUAE Law and MAS's PFMI stablecoin stance both reflect deliberate expansion of the regulatory perimeter to cover open finance, digital assets, and technology enablers of payments. Firms operating across these jurisdictions face compressed timelines for licensing uplift, governance restructuring, and technology-enabled compliance investment.

■ ISO 20022 data quality is becoming a cost and risk variable, not just a compliance exercise.

SWIFT's pricing penalties for non-compliant address data and SEPA 3.7 mandatory adoption shift ISO 20022 from a migration project to an ongoing operational and risk management discipline. Institutions that invest in structured data quality will derive compounding returns in fraud detection, sanctions screening, and STP — outperforming those treating it as a one-time project.

4. IMPLICATIONS FOR A PAYMENTS PRODUCT LEADER

1. Monitor the FedNow cross-border comment period closely (closes June 7).

The comment window will reveal which correspondent banks and PSPs are positioning as designated intermediaries for cross-border FedNow flows. This shapes competitive architecture for USD corridors through 2027+. If your firm handles USD cross-border payments, a formal regulatory response may be warranted to influence the intermediary framework before it crystallises.

2. Accelerate Project Nexus readiness if you operate in ASEAN or India corridors.

With NGP incorporated and live implementation underway, PSPs in connected markets need to begin technical integration planning now. The mid-2027 onboarding timeline is closer than it appears. Early movers on API connectivity, FX liquidity for Nexus corridors, and compliance alignment will have structural first-mover advantages.

3. Treat ISO 20022 structured data as a product and risk asset, not just a compliance task.

SWIFT's January 2026 pricing penalties are the opening move; November 2026 structured address hard deadline is the closing one. Leaders who frame this as a data quality program — investing in enrichment pipelines, client data remediation, and downstream ML-based fraud and sanctions benefit — will outperform those running it as a one-time migration workstream.

5. OPTIONAL WATCHLIST — Watch Next

● RTP Network (TCH) domestic-correspondent launch — September 2026.

The Clearing House's RTP network is targeting September 2026 for domestic-correspondent activity as a precursor to full cross-border capability. Watch for intermediary announcements and competitive positioning from Visa, Mastercard, and digital-asset cross-border players.

● CBUAE licensing deadline for newly in-scope firms — September 16, 2026.

The six-month window for open finance providers and VA payment services to regularise under the CBUAE Law closes in September. Watch for a wave of license applications and potential enforcement actions against non-compliant operators in the UAE market.

● Cross-border data interoperability standards — BIS/FSB/FATF framework convergence.

Global payments move fast, but jurisdictional data rules and structured messaging gaps are creating new 'data border' bottlenecks. Watch for BIS, FSB G20 cross-border payments roadmap, and FATF to issue coordinated frameworks addressing data interoperability in cross-border payment flows — a structural constraint that no single rail can solve alone.

This briefing is compiled from publicly available sources including central bank publications, regulatory releases, and reputable financial media. It is intended for informational purposes only and does not constitute investment, legal, or regulatory advice. Key sources: Federal Reserve (federalreserve.gov), MAS (mas.gov.sg), SWIFT (swift.com), BIS (bis.org), CBUAE (centralbank.ae), American Banker, PYMNTS, Payment Expert, Sullivan & Cromwell, White & Case, Norton Rose Fulbright, FXC Intelligence.